

18. **Effect of the indemnity clauses.** — [Formerly an express clause was] inserted in trust-deeds, that one trustee should not be answerable for the receipts, acts, or defaults of his co-trustee. But the proviso, while it informed the trustee of the general doctrine of the Court, added nothing to his security against the liabilities of the office. In *Westley v. Clarke* (*e*) Lord Northington was inclined to attach some importance to the clause. But equity infuses such a proviso into every trust-deed (*f*), and a person can have no better right from the expression of that which, if not expressed, had been virtually implied (*g*). It is clear that, in later cases, the Court has considered it an immaterial circumstance whether the instrument creating the trust contained such a proviso or not (*h*). And now, by Lord St. Leonards' Act, every instrument creating a trust shall be deemed to contain the usual indemnity and re-imbursement clauses, and therefore in future the express introduction of them in deeds and wills may be safely dispensed with (*i*).

19. **Special indemnity clause.** — A settlor, however, has full power to abridge the ordinary duties of trustees, and a *special* indemnity clause may be so worded as to exempt trustees from responsibility in respect of acts, which would otherwise be breaches of trust. Thus, if a testator declare "that any trustee who shall pay over to his co-trustee, or shall do or concur in any act enabling his co-trustee to receive [*275] any moneys, * shall not be obliged to see to the application thereof; nor shall such trustee be subsequently rendered responsible by an express notice or intimation of the actual misapplication of the same moneys," here the testator has not only appointed joint trustees, but has also authorized each of them to delegate his duties to a co-trustee;

(*e*) 1 Eden, 360.

(*f*) See *Dawson v. Clarke*, 18 Ves. 254.

(*g*) *Worrall v. Harford*, 8 Ves. 8.

(*h*) *Brice v. Stokes*, 11 Ves. 319; *Bone v. Cook*, M'Clel. 168; S. C. 13 Price, 332; *Hanbury v. Kirkland*, 3 Sim. 265; *Moyle v. Moyle*, 2 R. & M. 710; *Sadler v. Hobbs*, 2 B. C. C. 114;

Mucklow v. Fuller, Jac. 198; *Pride v. Fooks*, 2 Beav. 430; *Williams v. Nixon*, 2 Beav. 472; *Fenwick v. Greenwell*, 10 Beav. 418; *Drosier v. Brereton*, 15 Beav. 221; *Dix v. Burford*, 19 Beav. 409; *Brunridge v. Brunridge*, 27 Beav. 5; *Rehden v. Wesley*, 29 Beav. 213.

(*i*) 22 & 23 Vict. c. 35, s. 31.